

business necessitated still more, the end result being low returns on invested capital compared to today's largest enterprises.

The world of business and investment has changed significantly over the past century, and many of today's largest companies have only a limited amount invested in tangible assets, yet extraordinary cash-generation capability. In many cases, their primary assets are people, intellectual property, and brands; there are no assembly lines or blast furnaces, no locomotives or steam shovels. Profit margins for such businesses are far above those of the typical asset-heavy firms from generations past. The value of a contemporary company is consequently less bound up with the value of its physical assets. This may require us to tilt the prism of analysis to adjust to today's reality, but the original concepts put forward by Graham and Dodd remain the same: (1) that imprecise but reasonably accurate intrinsic values can be determined through careful assessment and analysis of earnings power, and (2) there are investment opportunities to be had in purchasing shares of a company at a price below these intrinsic values.

But what does it take these days to determine a company's intrinsic value? We will work our way to the answer.

LESSONS LEARNED

Investing in equities has been described as simple but not easy. Concepts such as "don't overpay," "identify good management teams," "avoid speculation," "be patient," "verify the accuracy of financial statements," "the market is a voting machine and not a weighing machine," and "focus on qualitative, as well as quantitative aspects of a business" are all bandied about, but they are easier to invoke in principle than in practice.

In attempting to value companies over my career, I've come to appreciate that the difference between a good analyst and a great one lies in the ability to keep things simple and determine what matters most.